

BUS 719

Session 6

Gervase Bushe

SFU

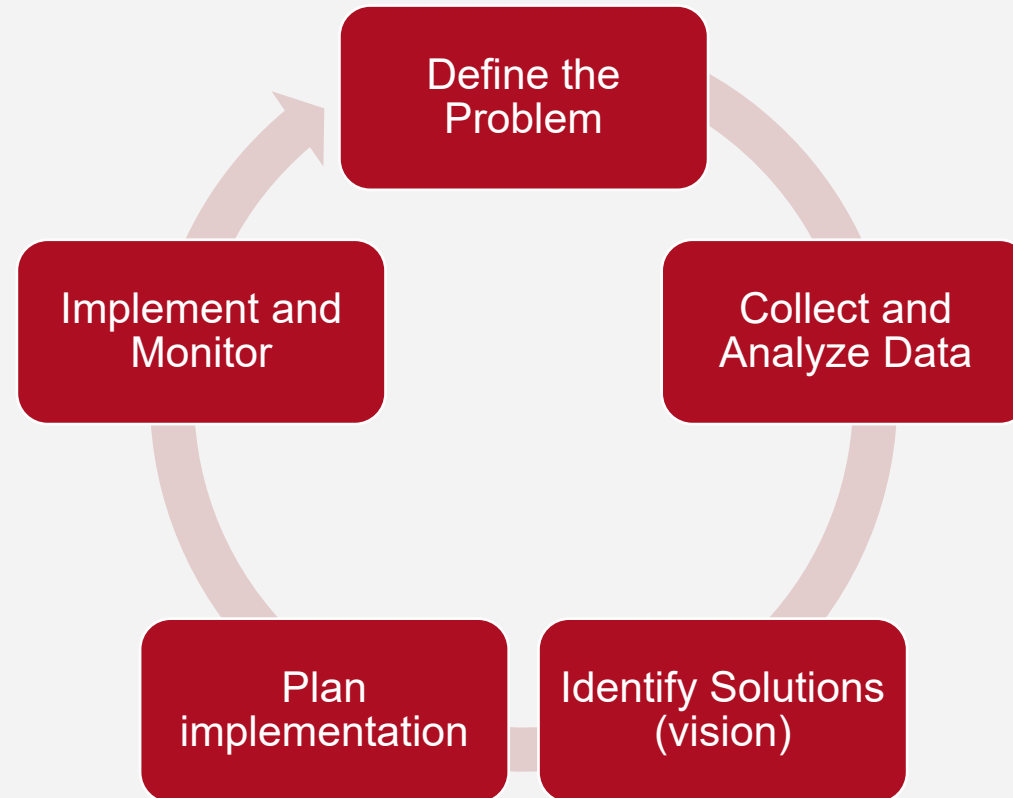
BEEDIE SCHOOL OF BUSINESS
SIMON FRASER UNIVERSITY



PRME
Principles for Responsible
Management Education

Change Management emerged out of Organization Development

- The generic consulting model



This “Diagnostic Mindset” in OD

- As opposed to “expert consulting”, in OD the participation of those who will have to change is essential (Action Research – engage those who will have to take action in the research process).
- In practice this involved a few small groups of employees who represent the larger organization, with the hope they will represent the views of the rest and will help promote the changes to the rest.
- This worked when environmental change was slower and employees had more time to participate.

In the 1990s new “large group” OD interventions become popular

- Instead of using small groups over a period of many months to diagnose and plan change, bring the whole organization, or a lot of it, together for a few days to diagnose and plan change.
- Some early adopters
 - Ford
 - General Electric
 - Shell
 - US Military

Three Seminal Large Group Methods

- Search Conference / Future Search
- Open Space Technology
- Appreciative Inquiry Summit

Future Search

(Marvin Weisbord & Sandra Janoff)

- Very useful when there are many different stakeholders with competing interests and agendas.
- Ideal design is to have 8 different stakeholders each with 8 participants. Sometimes each of the Stakeholder Groups meet separately and then report out to the whole group. Sometimes Diverse Groups with participants from each stakeholder group meet and then report out to the whole group.
- The key contribution of Future Search was to show it is much easier to find common ground and create change by finding a future everyone wants to create, and then plan how to get there, than by analyzing problems to come up with solutions.

An example

Weisbord, M. & Janoff, S. “Faster, Shorter, Cheaper May Be Simple; It’s Never Easy.” *The Journal of Applied Behavioral Science*, 41:1, 2005, pp. 70–82.

- Global furniture retailer, IKEA, used Future Search to develop a new system for product design, manufacture, and distribution, implementing a complete reorganization in order to decentralize and integrate many “silos” that no longer served effectively.
- They focused on one product line. The Future Search included the company president and product line head, top staff from design and product development, inventory management, sales, supply and distribution, trading, purchasing, information technology, finance and retail managers, suppliers from Poland, Mexico, and China and six customers who had bought the product.
- In 18 hours, the plan was made, validated, and signed off by the company president, key people from all affected functions, and several customers. They developed a completely new system, a strategic plan, and formed task forces led by key executives to implement it.
- One year later they had exceeded the president’s targets, cut costs and reduced the price while preserving profit margins, maintaining product quality and increasing volume. The experience of the Future Search affected company norms, policies, procedures, and cooperation among functions.

Open Space (Harrison Owen)

- Very useful when there is a large group of people who are passionate/upset/inspired about a complex issue, and there is urgency and diverse points of view.
- Almost any business issue including strategic direction setting, envisioning the future, identifying the issues and opportunities to realize the desired future, conflict resolution, morale building, organizational transformation to a high performing and fast learning organization.
- The key contribution of Open Space was to bring complexity science to organizational change and show that you can solve problems and implement change much faster by bottom up, emergent self-organizing than top-down visioning and planning.

Appreciative Inquiry Summit

(David Cooperrider)

- Useful in helping large groups of people develop a common sense of purpose by identifying high-point experiences from the past in order to dream and design a better future.
- Has been used for improving any organizational process, and for creating new organizations.
- The key contributions of Appreciative Inquiry have been to
 - highlight the importance of narratives, the social construction of reality and anticipatory reality to processes of change,
 - show that positive emotions and energy make participatory change processes easier, and
 - to emphasize generativity instead of problem-solving for managing problems of organizing.

An Example

Barrett, F.J & Fry, R.E. (2005) *Appreciative Inquiry: A Positive Approach to Building Cooperative Capacity*. Chagrin Falls, OH: Taos, pp.55-72.

- Problems with throughput at Roadway Express Akron Terminal was reframed to “Winning through Employee Driven Throughput: Crushing Non-Union Competition.”
- 180 employees from all levels and departments engaged in a 3 day Summit
- After 6 months average throughput improved 47%-67%, production efficiency increased from 59-64%, average transit speed reduced from 2.3 days to 2.1 days
- In the following two years, Roadway conducted over 60 Applinq Summits. Those sites had seven times the costs savings of those that didn't use Applinq. Roadway's stock price rose nearly 400%

Sometimes these produced rapid transformational change

- Academic case studies found instances where:
 - Significant employee generated improvements occurred in a matter of weeks.
 - Changes to culture that increased engagement and agility in a matter of months.
 - Widespread alignment with new strategies that were executed the next day.
 - Significant improvements to bottom line measures.

Examples



Hunter Douglas Window Fashions Division (2 years)

- Increase sales 30%; profitability 37%; on time delivery 97 percent. Reduce employee turnover 52%; returned goods 55%.



Nutrimental Foods (1 year)

- 27% increase in sales, 22% increase average return on employee.

**But sometimes they don't produce much change.
What makes the difference?**

Dialogic Organization Development

- A label created by Bob Marshak (American University) and myself to group together a set of organizational change practices that can produce rapid, transformational change, and violate some central tenets of conventional *Diagnostic* OD and change theory.
 - No diagnosis before launching the change
 - No leadership vision before launching the change
 - Do not view organizations like organisms
- Dialogic OD is NOT about having better dialogues. It is about the process of planned, transformational improvement.

Conceptual Approaches to Change Diverge

	Diagnostic	Dialogic
Influenced by:	Classical science, positivism, and modernist philosophy	Complexity science, interpretive and post modern philosophy
Dominant Construct	Organizations are like living systems	Organizations are networks of meaning making
Ontology and Epistemology	• Reality is an objective fact • There is a single reality • Truth is transcendent and discoverable • Reality can be discovered using rational and analytic processes	• Reality is socially constructed • There are multiple realities • Truth is immanent and emerges from the situation • Reality is negotiated and may involve power and political processes
Constructs of Change	• Usually teleological • Collecting and applying valid data using objective problem-solving methods leads to change • Change can be created, planned and managed • Change is episodic, linear, and goal oriented	• Often dialogical or dialectical • Creating containers and processes to produce generative ideas leads to change • Change can be encouraged but is mainly self-organizing • Change is continuous, emergent and/or cyclical
Focus of Change	Emphasis on changing behavior and what people do	Emphasis on changing mindsets and what people think

Adapted from Bushe & Marshak, 2009

Some Dialogic OD Methods

Go to www.b-m-institute.com for an ever expanding bibliography

- Art of Convening (Neal and Neal)
- Art of Hosting (artofhosting.org)
- **Appreciative Inquiry** (Cooperrider)
- Complex Responsive Processes (Shaw)
- **Conference Model** (Axelrod)
- **Co-Design** (Knapp, Zeratsky & Kowitz)
- Cycle of Resolution (Levine)
- Dynamic Facilitation (Rough)
- Engaging Emergence (Holman)
- **Future Search** (Weisbord & Janoff)
- **Liberating Structures** (Kimball)
- Narrative Mediation (Winslade & Monk)
- **Open Space Technology** (Owen)
- Organizational Learning Conversations (Bushe)
- **Real-Time Strategic Change** (Dannemiller)
- Search Conference (Emery)
- Solution Focused Dialogue (Jackson & McKergow)
- Structure of Belonging (Block)
- Syntegration (Beer)
- Technology of Participation (Spencer)
- The Circle Way (Baldwin)
- **Theory U** (Scharmer)
- **Work Out** (Ashkenas)
- **World Café** (Brown & Issacs)

Dialogic OD methods look different, but....

- People have been looking at these as different techniques, and when they use them in a “paint-by-numbers” sort of way, sometimes they work and sometimes they don’t.
- I think we have uncovered the secret sauce, and the underlying set of principles and practices, that make them work.

It's About Mindset

- It's not about the method, it's about the mindset behind the method! (Bushe & Marshak, 2014)
- Just about any technique can be used in a Diagnostic way or a Dialogic way
- It's not either/or – mindsets and methods can be mixed and matched, using different approaches at different points in a change process

Do Different Problems Need Different Change Strategies?



Ron Heifetz

Professor, Kennedy School of Government,
Harvard University

- *Leadership Without Easy Answers (1997)*
- *The Practice of Adaptive Leadership (2009)*

Examples

Complicated, Technical Problem	Complex, Adaptive Challenge
How do we ensure nurses know the safest methods for lifting patients?	How do we improve the health and wellness of nurses?
How do we ensure accurate information is provided during handoffs from sales to installation?	How do we increase collaboration between sales and operations?
How do we identify potential safety issues and devise safe operating procedures?	How do we develop a safety culture from top to bottom and across all operations?

TECHNICAL PROBLEMS

Easy to operationally define.

Lend themselves to operational (process and procedures) solutions.

People are generally receptive to technical solutions they understand.

Often can be solved by authorities or experts.

Requires change in just one or a few places; often contained within organizational boundaries.

Solutions can often be implemented relatively quickly by changing rules or work processes.

Technical problems stay solved until something else changes.

TECHNICAL PROBLEMS	ADAPTIVE CHALLENGES
Easy to operationally define.	Difficult to agree on what the “problem” is
Lend themselves to operational (process and procedures) solutions.	Require changes in values, beliefs, roles, relationships, & mindsets.
People are generally receptive to technical solutions they understand.	People generally resist adopting other-defined values and beliefs.
Often can be solved by authorities or experts.	People with the problem have to be involved in solving it.
Requires change in just one or a few places; often contained within organizational boundaries.	Requires change in numerous places; usually across organizational boundaries.
Solutions can often be implemented relatively quickly by changing rules or work processes.	Adaptation requires experiments and new discoveries as well as wrong turns and dead ends.
Technical problems stay solved until something else changes.	Adaptation creates new problems that will have to be adapted to.

The greatest failure of leadership is to treat an adaptive challenge like a technical problem
– R. Heifetz

Bushe & Nagaishi, 2018

Eight Premises of the Dialogic Mindset

- Reality and relationships are socially constructed through day-to-day conversations
- Organizations are social networks of meaning making.
- Transformational change must shape how meaning is made and especially the narratives which guide people's experience.
- Organizations are continuously changing, in both intended and unintended ways, with multiple changes occurring at various speeds.
- Groups and organizations are inherently self-organizing and homeostatic; disruption is required for transformational adaptation and change.
- Transformational change is more emergent than planned
- Increase differentiation before seeking coherence
- Consultants are a part of the process, not apart from the process

Three Enablers of Transformation

Bushe & Marshak, 2014

- Regardless of the process, Dialogic change methods only work if they do at least one of the following:
 - Stimulate the process of **emergence** to facilitate self-organizing at a higher level of complexity
 - Change the core **narratives** that guide thinking and acting
 - Create **generative conversations** that allow people to think and act in ways they couldn't consider before

Emergence

- Emergence is nature's way of changing, in which increasingly complex order arises from disorder.

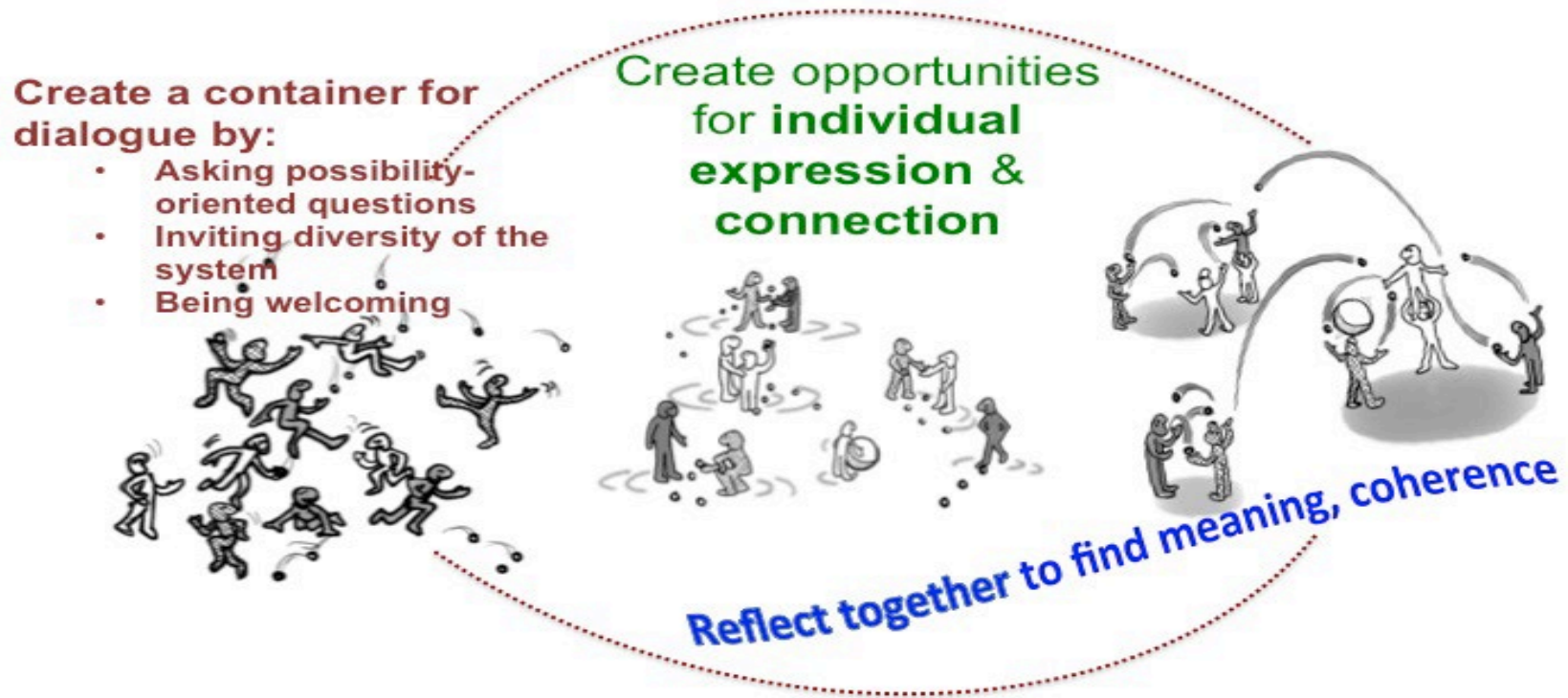
This pattern of change flows as follows:

- **Disruption** breaks apart the status quo.
- The system **differentiates**, surfacing innovations and distinctions among its parts.
- As different parts interact, a new, more complex **coherence** arises.

Emergence and Change

- Change is part of the continuous process of self-organizing that occurs in all human collectives.
- New organizational behaviors and practices result from emergent rather than directed processes.
- After disruption, emphasize differentiation before seeking new coherence.

Peggy Holman gives us an image of planned emergence



Homan, 2013

Narrative and Discourse

- Language (words, stories, metaphors, texts, narratives, etc.) does more than simply convey information.
- Instead language creates, frames, sustains, and transforms social experience, shapes organizational members' mindsets, and influences the resulting organizational behavior.
 - Words create worlds
 - Talking is action
 - *"Speaking differently rather than arguing well is the chief instrument in cultural change"*
(Rorty, 1989)

Narratives

Narratives are coherent “story lines” that are shared by a group of people and explain how things are, help them make sense of their world, and provide a rationale for decisions and actions.

In any organization there are usually a variety of different narratives about the same things. Some narratives are “privileged”. Some are “marginalized”, some are “repressed”.

- What is an example of a significant narrative that exists in your organization?
- Does this narrative support or get in the way of organizational excellence?

Narratives

- Dialogic change processes do not work at deciding which narratives are “right”, but they can try to:
 - help people look at the consequences of the narratives they hold,
 - understand the variety of narratives influencing situations,
 - recognize which narratives are “privileged” or suppressed,
 - and/or support the emergence of new narratives

- In 1987 something happened that transformed how business, governments and environmentalists related to each other in a matter of months. What was it?

Sustainable Development

A “generative image”

Generative Images

“The most powerful force for change is a new idea”

Suresh Srivastva

- A combination of words, symbols, pictures that allows us to see old things in new ways and thereby furnish new alternatives for action that we didn't realize we had
- A very generative image is also attractive and compelling – we want to act in these new ways
- A generative image is not a picture or an idea, it is an ambiguous combination of words that opens up people's thinking and leads to new ideas

Examples of Generative Images

Adaptive Challenge	Generative Image
How do we increase the safety of miners who have resisted implementing new policies and procedures designed to increase safety because they feel they are too cumbersome and add unnecessary work to their jobs?	

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How do we get change our banking culture from process and control oriented to a greater customer focus?	<i>Make Banking Joyful</i>

Prepare to discuss in class

From the Jet Blue Case

1) Approach

- Identify examples of using diagnostic/change-management approaches
- Identify examples of using dialogic/high-engagement approaches
- Was there a pattern to this?

2) Enablers of Transformation

- What disruptions were evident in the case?
- What changes in core narratives occurred in the case?
- What generative images appear in the case?